POLICY ENGINE

MOCK DATA · BUDGET REHEARSAL · NOT A BUDGET ANALYSIS

Autumn Budget 2026: Drill 5 analysis

How fifteen candidate Autumn Budget 2026 measures would affect the public finances, households across the income distribution and age groups, poverty and inequality, modelled with PolicyEngine UK.

PolicyEngine · Draft, 26 October 2026

policyengine 6.11.0 · policyengine-uk 2.151.0

SUMMARY

Key findings

This is a rehearsal, not an analysis of the Budget. The fifteen measures are candidates chosen for PolicyEngine's Drill 5 (26 October 2026), several with assumed (mock) values, and every approval, Treasury figure and attestation behind these figures is mock. The Budget is on 28 October 2026.

−£13.6bn
Net effect on government revenue in 2027-28, all fourteen measures in the combined run

£122
Average change in household net income a year, 2027-28

−0.10pp
Change in the absolute poverty rate (BHC), 2027-28

- **Public finances.** Together the measures cost −£13.6bn in 2027-28, and between −£7.1bn and −£13.6bn a year from 2027-28 to 2031-32. Run separately, the same fourteen sum to −£13.9bn in 2027-28; the difference is how the measures interact.
- **The largest measures.** Employer NI relief for under-25s costs the most, −£5.3bn a year on average; Dividend tax rates up 1 point raises the most, £0.8bn.
- **Households.** Household net income rises by £122 a year on average in 2027-28. Gains are largest relative to income in the poorest tenth (+0.6%); the richest tenth lose £121 a year on average, mainly from the dividend tax rise and the Business Asset Disposal Relief restriction.
- **Age.** People aged 16 to 24 live in households gaining £167 a year on average and people aged 65 and over £96.
- **Poverty and inequality.** Absolute poverty before housing costs falls by 0.10 percentage points in 2027-28 and the Gini index by 0.39 points; 98% of people live in a household whose net income changes.

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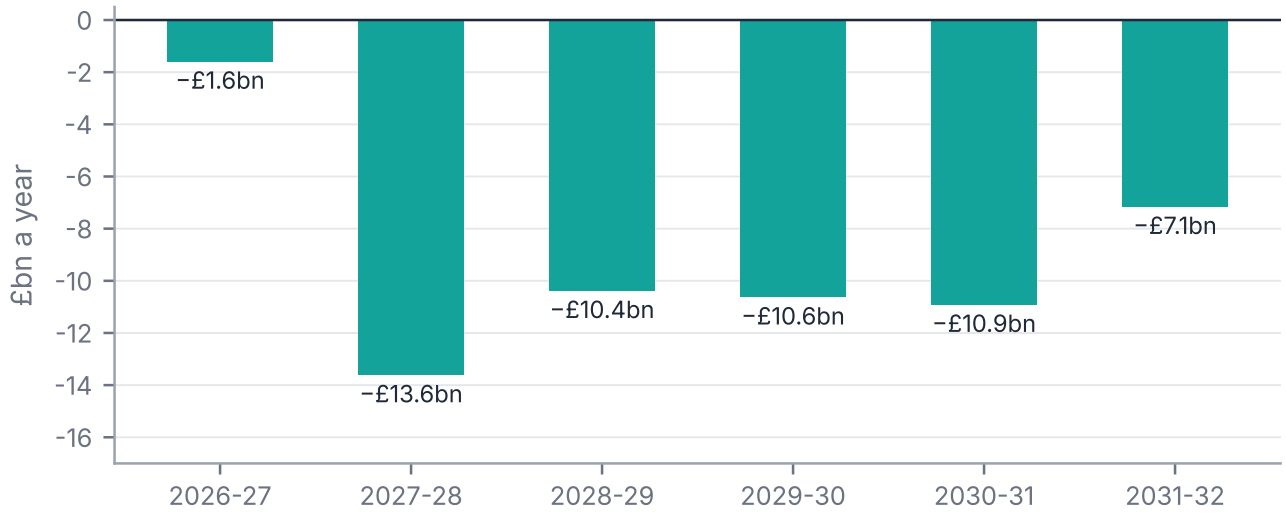
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SECTION 1

Public finances

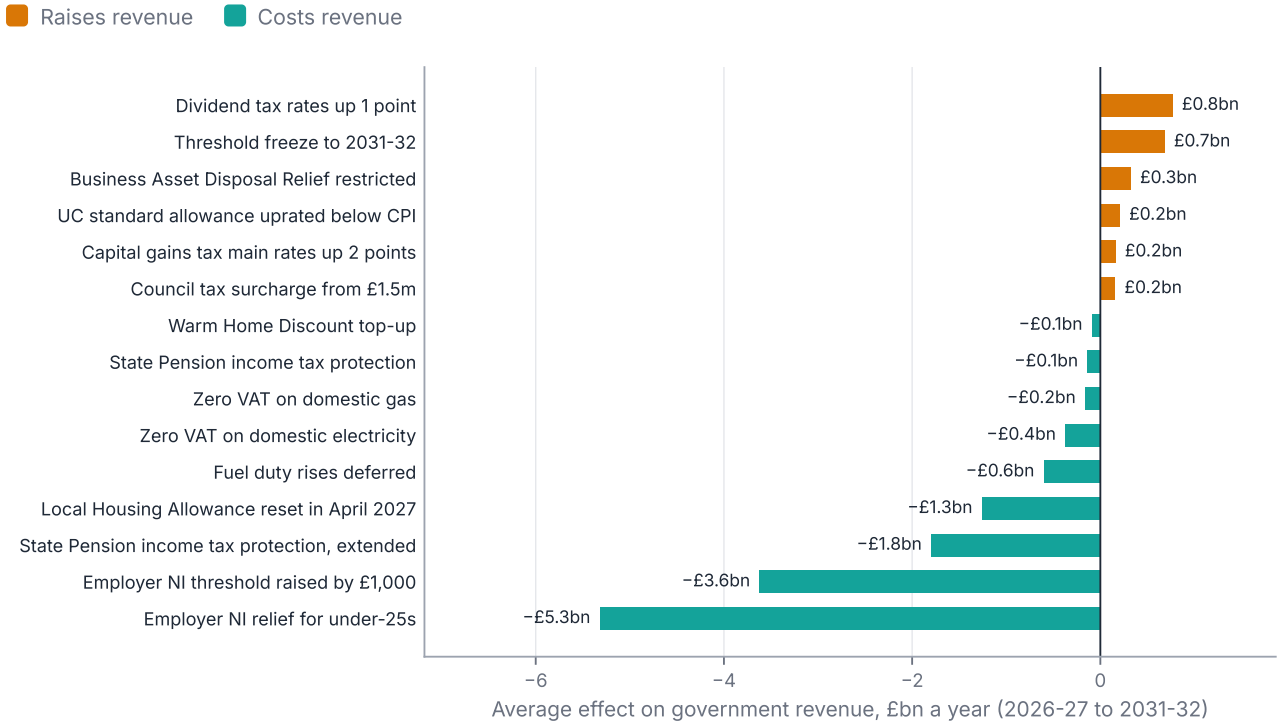
The net effect of the measures on government revenue each year, as PolicyEngine costs them: static, with no behavioural response, on the Microcosm UK 2024-25 national dataset. Below zero is a cost to the Treasury.

The fourteen measures together, by year



Change in government revenue, £bn a year. Combined run of fourteen measures (the extended State Pension protection is an alternative and left out). Source: PolicyEngine UK, Drill 5.

Each measure, average a year



Average change in government revenue, £bn a year, 2026-27 to 2031-32. Each measure run on its own against current law.

Each measure by year, £bn

Measure	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
Dividend tax rates up 1 point	0.00	0.86	0.89	0.92	0.95	0.99
Threshold freeze to 2031-32	0.00	0.00	0.00	0.00	0.00	4.10
Business Asset Disposal Relief restricted	0.00	0.36	0.38	0.39	0.40	0.41
UC standard allowance uprated below CPI	0.00	0.23	0.24	0.25	0.26	0.26
Capital gains tax main rates up 2 points	0.00	0.19	0.19	0.19	0.20	0.20
Council tax surcharge from £1.5m	0.00	0.00	0.23	0.23	0.24	0.25
Warm Home Discount top-up	−0.55	0.00	0.00	0.00	0.00	0.00
State Pension income tax protection	0.00	−0.07	−0.10	−0.17	−0.24	−0.24
Zero VAT on domestic gas	0.00	−0.98	0.00	0.00	0.00	0.00
Zero VAT on domestic electricity	−0.73	−1.50	0.00	0.00	0.00	0.00
Fuel duty rises deferred	−0.30	−1.25	−0.52	−0.52	−0.50	−0.52
Local Housing Allowance reset in April 2027	0.00	−1.41	−1.45	−1.50	−1.57	−1.62
State Pension income tax protection, extended	0.00	−0.91	−1.54	−2.22	−2.94	−3.17
Employer NI threshold raised by £1,000	0.00	−4.30	−4.32	−4.35	−4.37	−4.39
Employer NI relief for under-25s	0.00	−6.01	−6.18	−6.36	−6.56	−6.82
Combined run (fourteen measures)	**−1.58**	**−13.60**	**−10.37**	**−10.62**	**−10.90**	**−7.15**

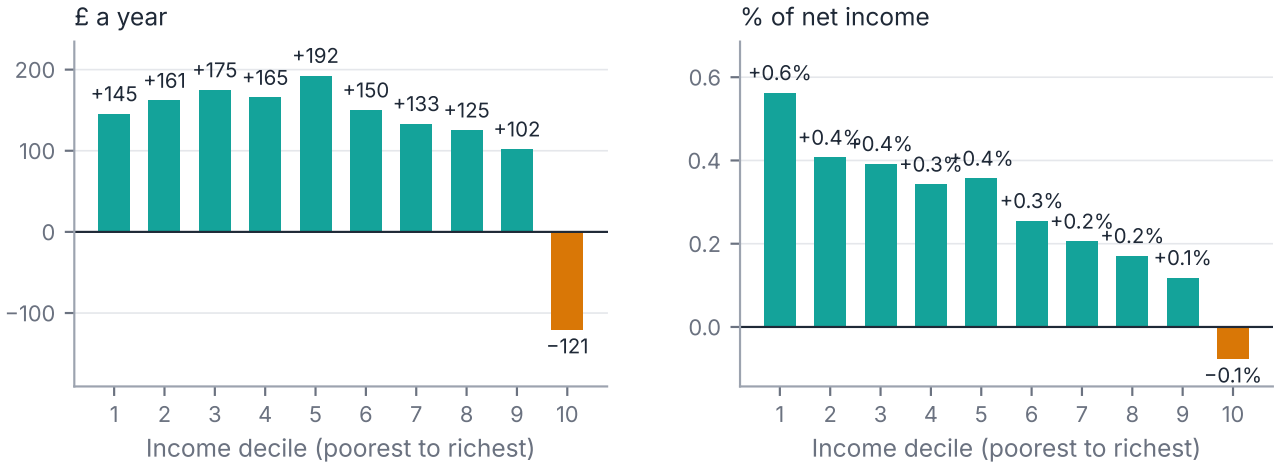
Negative values cost revenue. Each row is a measure on its own; the combined run includes the interactions between them and leaves out the extended State Pension protection.

SECTION 2

Households by income

How household net income changes across the income distribution in 2027-28, with all fourteen measures in place. Households are ranked into tenths (deciles) by their equivalised net income before the measures.

Average change in household net income by income decile, 2027-28



Left: £ a year. Right: % of net income. Teal is a gain, amber a loss. Source: PolicyEngine UK, Drill 5.

> The richest tenth lose on average because the dividend tax rise and the Business Asset Disposal Relief restriction fall mostly on them, while the cost-of-living measures (energy VAT, fuel duty, Warm Home Discount) and the Local Housing Allowance reset add most to lower incomes relative to income. The employer NI measures change no household's income here: pay is held fixed.

Households and poverty, by measure, 2027-28

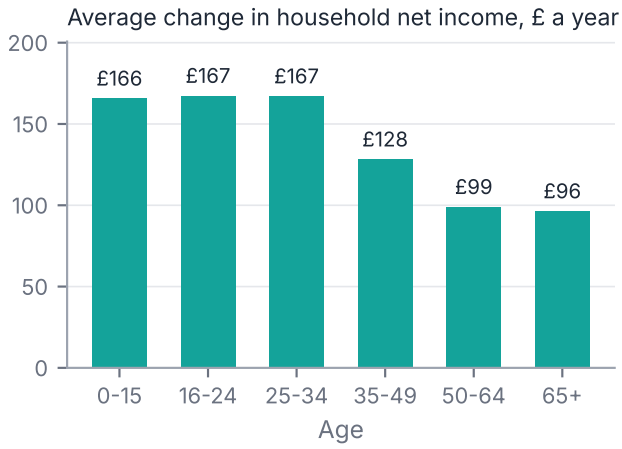
Measure	Avg £ a year	People affected	Poverty (pp)	Gini (×100)
Dividend tax rates up 1 point	−29	7.6%	+0.00	−0.066
Threshold freeze to 2031–32	+0	0.0%	+0.00	+0.000
Business Asset Disposal Relief restricted	−12	0.1%	+0.00	−0.046
UC standard allowance uprated below CPI	−8	21.2%	+0.05	+0.028
Capital gains tax main rates up 2 points	−7	0.9%	+0.00	−0.019
Council tax surcharge from £1.5m	+0	0.0%	+0.00	+0.000
Warm Home Discount top–up	+0	0.0%	+0.00	+0.000
State Pension income tax protection	+2	2.2%	−0.00	−0.006
Zero VAT on domestic gas	+33	81.4%	+0.00	−0.040
Zero VAT on domestic electricity	+51	96.5%	+0.00	−0.064
Fuel duty rises deferred	+43	78.3%	+0.00	−0.046
Local Housing Allowance reset in April 2027	+48	3.4%	−0.14	−0.131
State Pension income tax protection, extended	+31	17.5%	−0.02	−0.023
Employer NI threshold raised by £1,000	+0	0.0%	+0.00	+0.000
Employer NI relief for under–25s	+0	0.0%	+0.00	+0.000

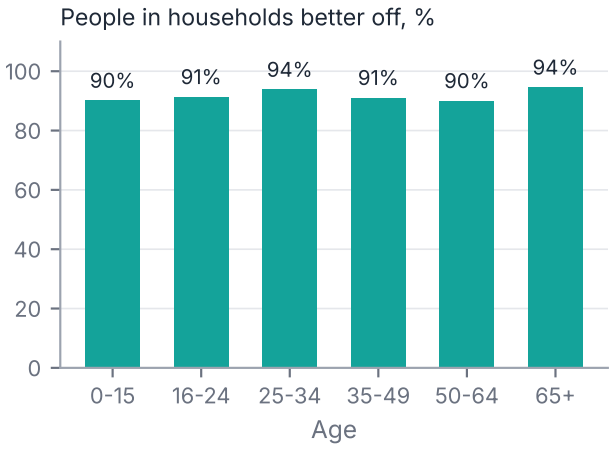
Average change in household net income over all households; people in households whose net income changes; change in the absolute poverty rate before housing costs; change in the Gini index of equivalised household net income. A measure starting after 2027-28 shows no effect in this year.

SECTION 3

Young people and pensioners

The same package by age, in 2027-28: the average change in the net income of the households people live in, and the share of people in households that are better off.





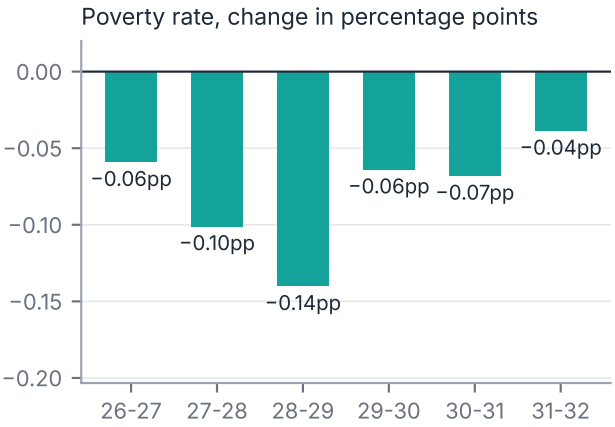
Per person, by the age of the person; household income is shared by everyone in the household. Source: PolicyEngine UK, Drill 5.

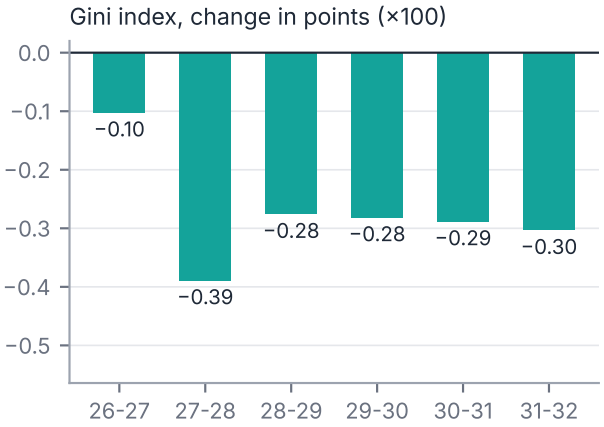
The employer NI relief for 21 to 24-year-olds is costed at fixed pay, so it raises no young person's income in these figures even though it is aimed at them. Pensioners gain mainly from the zero VAT on electricity and gas and the fuel duty deferral. The State Pension income tax protection adds about £8 a year on average across people aged 65 and over, because it reaches only those whose only income is the State Pension.

SECTION 4

Poverty and inequality

The change in absolute poverty before housing costs (below 60% of the 2024-25 median, held fixed in real terms) and in the Gini index of equivalised household net income, with all fourteen measures, by year.



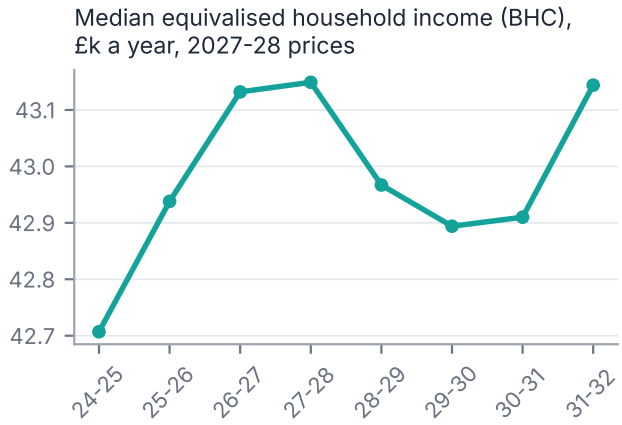


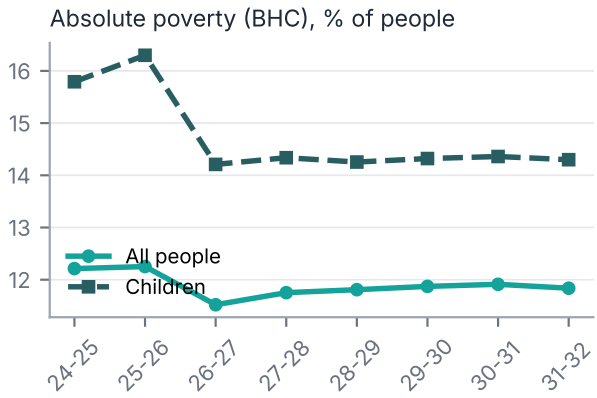
Left: percentage points. Right: Gini points × 100. Teal is a fall. Source: PolicyEngine UK, Drill 5.

SECTION 5

The outlook before the measures

PolicyEngine's projection of living standards under current law, before any of the measures: real median household income and absolute poverty, from 2024-25 to 2031-32. These are the baseline the measures change.





Equivalised household net income before housing costs; poverty below 60% of the 2024-25 median, fixed in real terms. Baseline projection on policyengine-uk 2.132.6 and the 19 October Microcosm national build (the outlook published on the dashboard, not regenerated for this drill).

SECTION 6

Results by constituency

To come.

The area run on Microcosm's local-area cut (microcosm-uk-2024-25-dense-...-c9df4b86) for these fifteen measures was still running when this draft was made. The map and the constituency table will be added from it.

SECTION 7

The measures

The fifteen candidate measures in Drill 5, ordered from the largest revenue raiser to the largest cost. Values marked mock are drill choices where reporting gave no figure.

Measure	What it does, as modelled
Dividend tax rates up 1 point	Raises each dividend tax rate by 1 point (mock).
Threshold freeze to 2031-32	Holds the personal allowance and basic rate band in 2031-32.
Business Asset Disposal Relief restricted	Cuts the Business Asset Disposal Relief lifetime limit from £1m to £500,000.
UC standard allowance uprated below CPI	Sets the Universal Credit standard allowance 1% below current law from April 2027 (mock).
Capital gains tax main rates up 2 points	Raises the main capital gains tax rates to 20% and 26% (mock); static.
Council tax surcharge from £1.5m	Starts the high value council tax surcharge at £1.5m, £2,500 a year, from April 2028 (mock).
Warm Home Discount top-up	Raises the Warm Home Discount from £150 to £250 for winter 2026-27.
State Pension income tax protection	An income tax allowance equal to the full new State Pension for pensioners whose only income is the State Pension.
Zero VAT on domestic gas	Removes the 5% VAT on domestic gas for 2027-28 (mock), Great Britain only.
Zero VAT on domestic electricity	Removes the 5% VAT on domestic electricity, Great Britain only.
Fuel duty rises deferred	Holds fuel duty at 52.95p a litre through winter 2026-27 and restores the 5p in two steps in 2027-28.
Local Housing Allowance reset in April 2027	Resets Local Housing Allowance to the 30th percentile of rents in April 2027, then freezes it.
State Pension income tax protection, extended	As above, never withdrawn: an alternative, left out of the combined run.
Employer NI threshold raised by £1,000	Raises the employer NI secondary threshold from £5,000 to £6,000 (mock), at fixed pay.
Employer NI relief for under-25s	No employer NI on earnings of 21 to 24-year-olds up to the upper secondary threshold.

SECTION 8

Method, data and caveats

Model and data

PolicyEngine UK, a microsimulation model of the UK tax and benefit system, through policyengine 6.11.0 (policyengine-uk 2.151.0), on the Microcosm UK 2024-25 national dataset (microcosm-uk-2024-25-national-20261025T091414Z-a6299504). Each measure was simulated on its own against current law, and the fourteen together in one combined run, for 2026-27 to 2031-32. The runs were made on Modal, one container per measure, and carry PolicyEngine's receipts.

What the figures leave out

- **Static costings.** No behavioural response: capital gains, dividends, fuel and energy use and pay are held fixed. The employer NI measures are costed at fixed pay, so they change no household's income.
- **Known gaps in three measures** (from the review on #145, not fixed in this run): the capital gains measure leaves the additional rate at 24%; the Local Housing Allowance reset leaves Northern Ireland frozen; the dividend measure leaves the £10m bracket unchanged.
- **Combined run.** Fourteen measures: the extended State Pension protection is an alternative design and left out.
- **The outlook** in section 5 is the dashboard's published baseline on the earlier pin (policyengine-uk 2.132.6), not regenerated for this run.

Rehearsal status

Every approval, attestation and Treasury figure behind these numbers is MOCK, made for Drill 5 only. The measures are candidates, several with assumed values, and none has been announced. Nothing here is PolicyEngine's analysis of the Autumn Budget 2026.

Replication: github.com/PolicyEngine/uk-autumn-budget-dashboard-2026, branch drill5-wednesday-path-newpair (figures) and drill5-on-185-template (flat files). Drill log: issue #144.